

For a household retiree, maximizing investment returns is not the goal; the goal is to meet expenses. Paper losses on individual bonds do not have to be realized if the bond is held to maturity. While the retiree misses out on the opportunity to buy the bond at a lower price later, this cannot be known in advance. It is always unfortunate to buy bonds and then see the price drop due to rising rates. But if the initial purchase allows the retiree to meet his or her retirement objective, then it is a successful purchase, no matter what interest rates subsequently do. Retirees who realize that it is nearly impossible to predict interest rate fluctuations can take comfort in knowing that individual bonds allow them to enjoy retirement and ignore subsequent interest rate fluctuations. Ignoring interest rate fluctuations is not possible with a bond fund strategy that has to make frequent adjustments to the portfolio's duration in order to immunize against interest rate risk.

The difference between a traditional bond ladder as an accumulation tool and a retirement income bond ladder is that with a traditional ladder, the cash flows received as coupons and face value are *reinvested* to purchase new replacement bonds at prevailing prices that extend the ladder and keep its length relatively constant over time. With a retirement income bond ladder, the cash flows received are *spent* on planned retirement expenses. A retirement income ladder will naturally wind down if other assets from outside the ladder are not used to extend it further as time passes.

When an investor purchases an individual bond and holds it to the maturity date, the return is precisely equal to the prevailing interest rates at the time of purchase. This is because the price paid to purchase a bond fluctuates so the return it provides to the investor matches the yields provided by bonds with similar characteristics for maturity date, credit risk, liquidity, and tax status.

Many investors would prefer to own bonds through mutual funds or exchange traded funds (ETFs), rather than making outright purchases of individual bonds. The returns of such funds are based on two factors: current interest rates and future changes in interest rates. If interest rates are low, bond returns will follow suit, both because the bonds in the fund are offering low yields, and because interest rates may be more likely to move up, rather